

PROPERTY TAX — SDLT & LTT

SQE1 §12.2 · RESIDENTIAL and NON-RESIDENTIAL are separate ladders — never mix them

SDLT

ENGLAND · HMRC · SDLT1 in 14 days · SDLT5 for HMLR

LTT

WALES · WRA · return in 30 days · receipt for HMLR

NOTIFIABLE ≠ PAYABLE

Consideration of £40,000 or more → you must file the return, even where the tax is £0.

Tax only starts ABOVE the nil band:

SDLT res £125k · SDLT non-res £150k · LTT £225k (both)

R E S I D E N T I A L — dwellings and their grounds

STANDARD RATES

0%	Up to £125,000
2%	£125,001–£250,000
5%	£250,001–£925,000
10%	£925,001–£1.5m
12%	Above £1.5m

Worked example
£295,000 → £4,750

FIRST-TIME BUYER RELIEF

0%	Up to £300,000
5%	£300,001–£500,000
NONE	Above £500,000 → standard ladder on the whole price

£500,000 FTB → £10,000
England only — no equivalent in Wales

+5% HRAD SURCHARGE

5%	Up to £125,000
7%	£125,001–£250,000
10%	£250,001–£925,000
15%	£925,001–£1.5m
17%	Above £1.5m

2nd home, or ANY company buying
any dwelling · £300k → £20,000

MAIN RESIDENTIAL RATES

0%	Up to £225,000
6%	£225,001–£400,000
7.5%	£400,001–£750,000
10%	£750,001–£1.5m
12%	Above £1.5m

Worked example: £280,000 → £3,300
NO first-time buyer relief in Wales

HIGHER RATES — 2nd home, company, trust

5%	Up to £180,000
8.5%	£180,001–£250,000
10%	£250,001–£400,000
12.5%	£400,001–£750,000
15%	£750,001–£1.5m
17%	Above £1.5m

£260,000 second home → £15,950
Band edges DIFFER — £180k, not £225k

N O N - R E S I D E N T I A L / M I X E D U S E — shops, offices, farmland, flat-over-shop, 6+ dwellings

SDLT NON-RESIDENTIAL — FREEHOLD / LEASE PREMIUM

0%	Up to £150,000 — note £150,000, NOT the residential £125,000
2%	£150,001 – £250,000
5%	Above £250,000

Worked example — shop at £275,000: 0% × £150,000 + 2% × £100,000 + 5% × £25,000 = £3,250

LTT NON-RESIDENTIAL — FREEHOLD / LEASE PREMIUM

0%	Up to £225,000
1%	£225,001 – £250,000
5%	£250,001 – £1,000,000
6%	Above £1,000,000

GRANT OF A LEASE — you may pay TWICE: on the PREMIUM (ladders above) and on the RENT (net present value)

SDLT residential rent: 1% on the NPV above £125,000

SDLT non-residential rent: 0% to £150,000 · 1% to £5m · 2% above £5m

Assignment of an existing lease → price only, no NPV charge

LTT residential rent: NO charge on rent

LTT non-residential rent: 0% to £225,000 · 1% to £2m · 2% above £2m

CGT ON A LATER DISPOSAL — charged on the GAIN, and the rate depends on where the gain falls in your income

18%
gain in the basic-rate band

24%
higher / additional-rate part

£3,000
annual exempt amount (individuals)

60 days
report + pay — UK residential

PRR
only or main home throughout = exempt, s.222 TCGA 1992

The test is what the PROPERTY is, not who the buyer is. · Any commercial element, or 6+ dwellings in one transaction → NON-RESIDENTIAL ladder. · A buy-to-let house is still RESIDENTIAL.